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AI

Cohere's new \$6.8B valuation confirms that the AI frenzy isn't over

By [Jacob Robbins](#)

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[Cohere](#), a Toronto-headquartered AI company, has raised \$500 million in new funding at a \$6.8 billion valuation.

That's more than triple the startup's valuation two years ago and more than a \$1 billion increase since 2024, the latest sign that AI companies continue to outpace the broader

struggling VC ecosystem in step-ups.

[Radical Ventures](#) and [Inovia Capital](#) led the round with additional backing from [AMD Ventures](#), [Nvidia](#) and [Salesforce Ventures](#).

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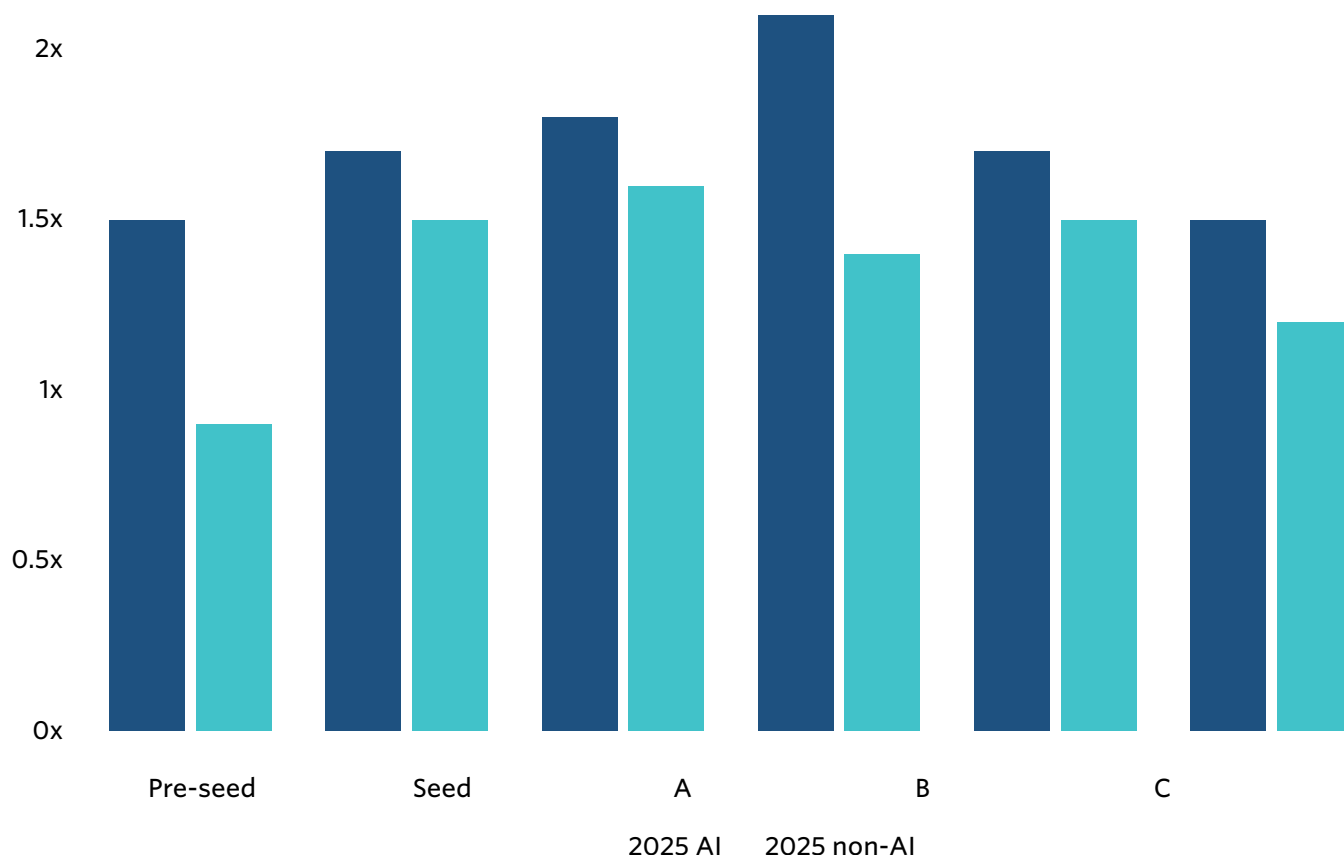
Cohere previously raised \$500 million in Series D funding at a \$5.5 billion valuation in July 2024. It was valued at \$2.2 billion in 2023.

Unlike [OpenAI](#) or [Anthropic](#), the company doesn’t have a consumer AI chatbot, instead focusing exclusively on selling its AI products to large enterprises like Dell and Oracle.

But like those two competitors, Cohere’s valuation growth has far outpaced the broader landscape.

AI continues to outpace

Median AI & ML VC valuation step-up by series



Source: [Q2 2025 US VC Valuations and Returns Report](#) • Geography: US • As of June 30, 2025

AI valuation step-ups exceed those of non-AI companies at every funding stage, according to PitchBook's latest [US VC Valuations and Returns Report](#).

Other AI companies have seen even more dramatic valuation growth. Since 2023 Anthropic's valuation has grown more than tenfold, from \$4.5 billion to \$61.5 billion. OpenAI has also seen similar valuation growth in the same timeframe, from \$29 billion in 2023 to now being valued at \$300 billion.

Featured image by NurPhoto/Getty Images

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About [Jacob Robbins](#)

Reporter Jacob Robbins covers artificial intelligence and the venture capital ecosystem for PitchBook. Based in Seattle, Jacob is originally from Massachusetts and holds dual degrees in political science and cinema studies from the American University. His work has previously appeared in Air Mail and Business Insider.

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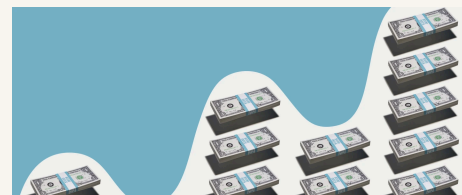


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